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China Industrials | Asia Pacific

Jul-26 Excavator Sales: Domestic Sales Weaker but Likely Temporarily

Jul-26 sales grew 14% YoY (7M26 +25% YoY). Domestic sales grew 4% YoY in 7M26 (+19% YoY), decelerating vs. YTD trend. Exports grew 21% YoY (7M26 +32% YoY), also decelerating.

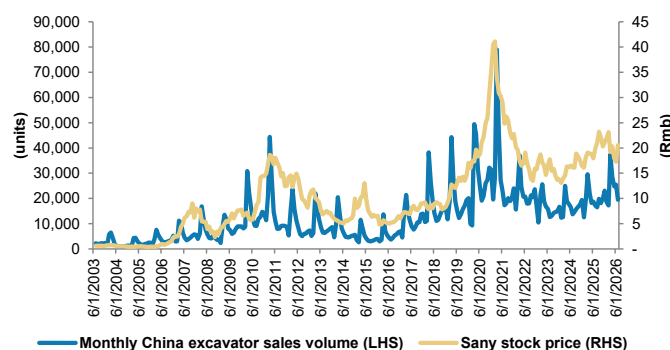
Our view: Weak July domestic data could dampen near-term sentiment, but shouldn't be extrapolated to a weak 2H yet. We think the July weakness domestically could be due to: 1) severe weather in parts of China bringing extreme heat and heavy rain, impacting construction works; and 2) slower Local Government Special Bond (LGSB) issuance in Apr-May (avg Rmb168bn/month vs. 1Q avg of Rmb387bn), although the pace of issuance picked up again in Jun (Rmb572bn), with ~Rmb2trn budget remaining for 2H (vs ~Rmb2trn issued in 1H). We think the slowdown in excavator sales growth could be temporary. Also, July and August are typically low seasons, thus the impact on full-year growth is likely to be moderate and the slowdown seasonal. Nevertheless, we think the market's conviction on China's construction machinery upcycle is low, therefore weak monthly sales could hamper near-term sentiment.

Exhibit 1: China excavator sales volume

	Jul			7M26	
	Sales volume (units)	YoY	MoM	Sales volume (units)	YoY
Total China excavator sales	19,521	14%	-23%	171,841	25%
Domestic sales	7,608	4%	-30%	86,633	19%
Export sales	11,913	21%	-18%	85,208	32%

Source: China Construction Machinery Association (CCMA), Morgan Stanley Research.

Exhibit 2: China's monthly excavator sales volume vs. Sany Heavy's share price



Source: CCMA, FactSet, Morgan Stanley Research.

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CHINA INDUSTRIALS

Asia Pacific

Industry View

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Valuation Methodology and Risks

Sany Heavy Industry Co., Ltd. (600031.SS)

Base case, derived from P/E methodology. We apply a target multiple of 23x to our 2026e EPS excl. FX loss estimate. We think this multiple is appropriate, as it is in line with Sany's average ~23x P/E multiple during the domestic construction machinery upcycle in 2016-17. FX losses are a near-term impact and are largely priced in by the market.

Risks to Upside

- Stronger-than-expected bargaining power amid market competition.
- Stronger-than-expected infrastructure and property construction activities.
- Faster-than-expected overseas penetration.

Risks to Downside

- Lower-than-expected infrastructure and property investment growth.
- Weaker-than-expected bargaining power with intensifying competition.
- Weaker-than-expected sales performance in overseas developing markets.

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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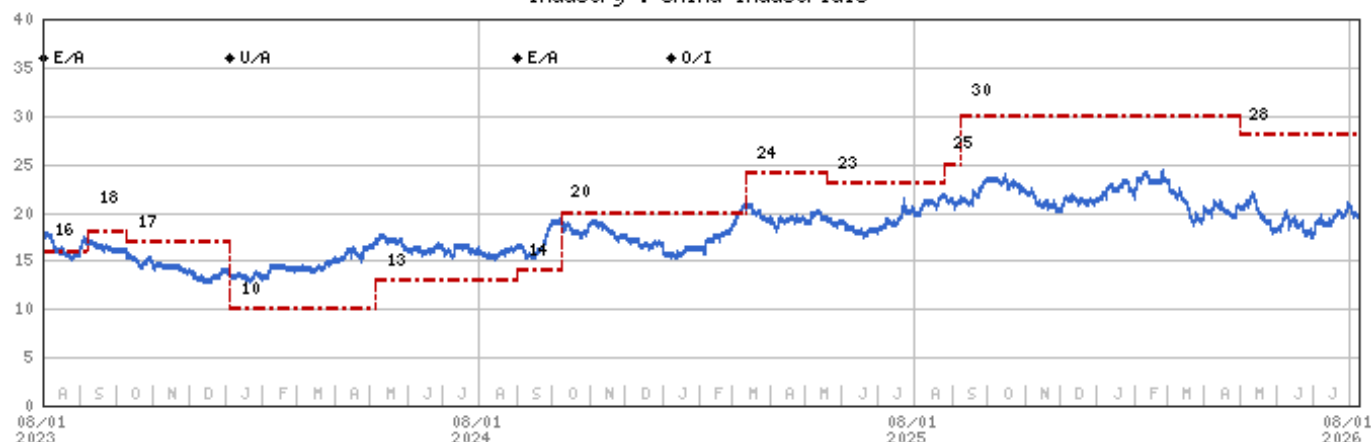
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Stock Price, Price Target and Rating History (See Rating Definitions)

Sany Heavy Industry Co., Ltd. (600031.SS) - As of 08/08/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 8/1/21 : E/I; 2/4/23 : E/A; 1/5/24 : U/A; 9/2/24 : E/A; 1/8/25 : O/I

Price Target History: 3/17/21 : 35; 8/16/21 : 30; 6/30/22 : 19; 12/13/22 : 16; 9/8/23 : 18; 10/10/23 : 17; 1/5/24 : 10; 5/6/24 : 13; 9/2/24 : 14; 10/8/24 : 20; 3/12/25 : 24; 5/19/25 : 23; 8/25/25 : 25; 9/8/25 : 30; 4/30/26 : 28

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Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/07/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.48
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.55
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.52
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb99.75
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.34
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb96.39
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb52.25
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb105.25
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb55.90
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$10.11
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb14.04
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.03
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.88
DR Laser (300776.SZ)	E (12/17/2021)	Rmb122.53
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb35.13
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$20.20
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb35.41
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb13.58
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb104.00
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb41.80
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb347.76
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb19.58
Shenzhen Inovance Technology (300124.SZ)	++	Rmb64.60
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb59.55
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$41.46
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb171.77
Times Electric (3898.HK)	E (01/22/2026)	HK\$35.62

WeiChai Power (2338.HK)	O (03/30/2026)	HK\$35.04
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb30.15
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb42.46
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb34.90
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb56.98
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb22.72
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb39.28
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$7.26
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.22

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.